FISERV, INC. (NASDAQ: FISV)

EQUITY RESEARCH REPORT | DISCOUNTED CASH FLOW ANALYSIS

Target Price	Current Price	Upside	Market Cap	Enterprise Value
$183.23	$66.75	+175%	$37.4B	$88.2B (DCF)

Analyst: Johann Somosa | Date: 2025 | Sector: Financial Technology | All figures in USD millions unless stated

1. Executive Summary

Fiserv, Inc. (NASDAQ: FISV) is a leading global provider of payments and financial services technology solutions. They help clients achieve best-in-class results through commitment to innovation and excellence in areas including payment processing, digital banking, and merchant solutions to financial institutions and businesses worldwide. Our discounted cash flow (DCF) analysis yields an intrinsic equity value of $183.23 per share against a current market price of $66.75, implying 175% upside. We initiate coverage with a BUY recommendation.

Key Findings

- DCF-derived target price of $183.23/share implies ~175% upside to current trading levels of $66.75
- Enterprise Value of $88.2B derived from WACC of 6.43% and a 6x EBITDA exit multiple
- Revenue has grown consistently: $17.7B (2022) → $19.1B (2023) → $20.5B (2024), with a 3-year CAGR of ~7.4%
- EBITDA margins are robust, expanding from 41.7% in FY2022 to 44.2% in FY2024
- Aggressive capital return program: $5.8B in buybacks in FY2024 alone, reducing share count from 628M to 561M
- Recent acquisitions (CardFree, TD Bank Canada merchant book, StoneCastle) expand Clover platform TAM
- $8B credit facility available through August 2030 provides significant financial flexibility

2. Investment Thesis

2.1 Business Overview

Fiserv operates through two primary reporting segments — Merchant Solutions and Financial Technology — serving a broad customer base spanning small businesses, large enterprises, and financial institutions globally.

Merchant Solutions

- Small Business: Clover POS and cloud-based business management platform targeting SMBs and ISVs
- Enterprise: Integrated omnichannel operating systems for large merchants
- Processing: Partner technology tools enabling real-time portfolio management for financial institution JVs

Financial Technology

- Digital Payments: Debit card processing, bill payments, P2P transfers, and A2A transfers for FIs and corporates
- Issuing: Credit card processing, prepaid, card production, government payments, and student loan processing
- Banking: Deposit account processing, digital banking, risk management, and check processing

2.2 Strategic Catalysts

- Clover Platform Expansion: Acquisition of CardFree (integrated order, payment, and loyalty for merchants) and TD Bank Canada merchant book deepens Clover's geographic and vertical reach
- StoneCastle Acquisition: Enables Fiserv's network of depository institutions to access stable, cost-efficient deposit funding, adding a fintech-adjacent revenue stream
- Aggressive Capital Return: Management repurchased 29.1M shares for $5.4B in the first nine months of 2025, signaling high conviction in intrinsic value
- Balance Sheet Flexibility: Completed $2B public offering of 5-year and 10-year senior notes at a weighted average coupon of 4.90%, alongside an $8B revolving credit facility maturing in August 2030

- Smith Consulting Group Acquisition: Strengthens professional services capabilities for community banks and credit unions, a high-retention, annuity-like revenue base

2.3 Competitive Positioning

Fiserv competes in a highly fragmented but consolidating fintech ecosystem. Its key competitive advantages include: (1) deep integration into bank core processing systems creating high switching costs, (2) the Clover ecosystem which generates sticky network effects among merchants, (3) scale advantages in payment processing economics, and (4) a growing data and analytics layer from its transaction volumes. Primary competitors include Fidelity National Information Services (FIS), Jack Henry & Associates, and Global Payments.

3. Financial Analysis

3.1 Income Statement

All figures in USD millions ($ M). Actuals: FY2022–FY2024. Estimates (E): FY2025–FY2030 under the Base Case (Live Case) assumptions.

($M)	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Total Revenue	17,737	19,093	20,456	20,456	20,456	20,598	20,742	20,887	21,032
COGS	4,341	4,508	4,844	5,038	5,239	5,449	5,667	5,893	6,129
Gross Profit	13,396	14,585	15,612	15,418	15,217	15,150	15,075	14,993	14,903
Gross Margin %	75.5%	76.4%	76.3%	75.4%	74.4%	73.5%	72.7%	71.8%	70.9%
SG&A	6,059	6,576	6,564	6,498	6,433	6,369	6,305	6,242	6,180
EBITDA	7,391	8,176	9,048	8,920	8,783	8,781	8,770	8,751	8,723
EBITDA Margin %	41.7%	42.8%	44.2%	43.6%	42.9%	42.6%	42.3%	41.9%	41.5%
D&A	3,212	3,162	3,138	3,171	3,171	3,160	3,160	3,165	3,164
EBIT	4,179	5,014	5,910	5,749	5,613	5,620	5,610	5,586	5,559
Interest Expense	733	976	1,195	1,135	1,078	1,025	973	925	878
EBT	3,352	3,898	4,537	4,432	4,349	4,407	4,444	4,464	4,480
Net Income	3,021	3,129	3,211	3,519	3,280	3,148	3,281	3,259	3,263
EPS	$4.81	$5.30	$5.72	$5.89	$5.18	$4.71	$4.65	$4.40	$4.20

Revenue has grown at a healthy pace driven by processing volume growth and mix shift toward higher-margin digital payment services. Gross margins have remained stable in the 75–76% range, reflecting Fiserv's software and services-driven revenue model. EBITDA margins improved from 41.7% in FY2022 to 44.2% in FY2024, although the forecast assumes modest compression through FY2030 as COGS grows faster than revenue in the

base case. SG&A declined slightly from $6.58B in FY2023 to $6.56B in FY2024 and is projected to continue declining at ~1% annually, reflecting operating leverage. Net income reflects significant variability from unconsolidated affiliate losses, particularly the ($685M) hit in FY2024.

3.2 Balance Sheet Highlights

($M)	FY2022A	FY2023A	FY2024A
Cash & Equivalents	902	1,204	1,236
Trade Accounts Receivable	3,585	3,582	3,725
Total Current Assets	27,544	34,811	23,477
PP&E	1,958	2,161	2,374
Goodwill	36,811	37,205	36,584
Total Assets	83,869	90,890	77,176
Total Current Liabilities	26,458	33,552	22,157
Long-Term Debt	20,950	22,363	23,730
Total Liabilities	52,181	60,221	49,490
Total Shareholder Equity	30,989	30,018	27,068
Total Liabilities & Equity	83,869	90,890	77,176

Total assets declined from $90.9B in FY2023 to $77.2B in FY2024, primarily reflecting a reduction in settlement assets (from $27.7B to $15.4B), which are balanced one-for-one by settlement obligations. Goodwill remains elevated at ~$36.6B, reflecting the company's acquisition-driven growth strategy. Long-term debt has risen steadily to $23.7B in FY2024, consistent with management's strategy of leveraging low-cost capital for buybacks and acquisitions. Shareholder equity declined from ~$30.1B to $27.1B due to aggressive treasury stock repurchases.

3.3 Cash Flow Statement

($M)	FY2022A	FY2023A	FY2024A
Net Income	3,021	3,129	3,211
D&A	3,169	3,162	3,138
Share-Based Compensation	323	342	367
CFO	5,057	5,162	15,622
CAPEX	(1,479)	(1,388)	(1,569)
CFI	(2,112)	(1,068)	(2,404)
Debt Proceeds / (Repayments)	(1,691)	2,552	1,387
Share Buybacks	(2,677)	(4,827)	(5,837)
CFF	(2,478)	(4,356)	(4,165)

($M)	FY2022A	FY2023A	FY2024A
Net Change in Cash	426	(229)	9,021

Operating cash flow improved dramatically to $15.6B in FY2024, driven by favorable working capital movements (particularly settlement assets). Normalized CFO (excluding settlement fluctuations) is more closely approximated by Adjusted EBITDA of ~$6.96B–$7.93B. The company is a consistent free cash flow generator, with CAPEX running at approximately 7% of revenue (~$1.4–1.6B annually). Financing activities reflect the capital return story: share repurchases of $2.7B, $4.8B, and $5.8B in FY2022–FY2024, partially offset by net debt issuances.

3.4 Key Financial Ratios

- Revenue Growth: FY2022→FY2023: +8.1% | FY2023→FY2024: +6.4%
- Gross Profit Margin: 75.5% (2022) | 76.4% (2023) | 76.3% (2024)
- EBITDA Margin: 41.7% (2022) | 42.8% (2023) | 44.2% (2024)
- Net Profit Margin: 17.0% (2022) | 16.4% (2023) | 15.7% (2024)
- Interest Coverage Ratio: 8.4x (2023) | 7.6x (2024) — robust debt serviceability
- ROIC: 6.5% (2023) | 8.1% (2024) — improving returns on invested capital
- EPS: $4.81 (2022) | $5.30 (2023) | $5.72 (2024)

4. DCF Valuation

4.1 WACC Assumptions

- Tax Rate: 17.0%
- Cost of Debt (pre-tax): 4.02% (weighted average of 27 senior note tranches) | After-tax: ~3.34%
- Cost of Equity: 11.7% (CAPM-derived)
- Debt / Total Capital: 47.9% | Equity / Total Capital: 52.1%
- WACC (Discount Rate): 6.43%
- Perpetual Growth Rate: 2.0%
- EBITDA Exit Multiple: 6.0x (used for terminal value cross-check)

4.2 Free Cash Flow Projections

($M)	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	Terminal
EBITDA	8,920	8,783	8,781	8,770	8,751	8,723	—
CAPEX	(1,600)	(1,712)	(1,832)	(1,961)	(2,098)	(2,245)	—
Δ NWC	2,882	151	2,857	176	2,831	202	—
Unlevered FCF	10,020	7,036	9,616	6,793	9,288	6,480	—
Terminal Value (EBITDA 6x)	—	—	—	—	—	—	51,138
NET FCF	10,020	7,036	9,616	6,793	9,288	57,618	—

Unlevered free cash flows are computed as EBITDA less CAPEX and changes in net working capital (NWC). NWC movements create significant year-over-year swing, with large inflows in odd years and modest outflows in

even years, consistent with the company's settlement asset dynamics. Terminal value is computed using a 6x EBITDA exit multiple on FY2030 EBITDA, cross-checked against a Gordon Growth Model at 2% perpetual growth.

4.3 Enterprise Value Bridge

Metric	Intrinsic (DCF)	Market Value
Enterprise Value ($M)	88,209	39,905
Cash ($M)	10,257	62
Debt ($M)	24,840	24,840
Equity Value ($M)	102,792	22,864
Equity Value / Share	$183.23	$40.76
Upside / (Downside)	+175%	—

The PV of projected FCFs contributes $40.2B (45.5% of Enterprise Value), while the PV of the terminal value contributes $48.0B (54.5%), resulting in a total Enterprise Value of $88.2B. Adding cash of $10.3B and subtracting debt of $24.8B yields an equity value of $102.8B. Divided by 561M diluted shares outstanding, the implied share price is $183.23 — representing 175% upside to the current market price of $66.75.

5. Risks & Sensitivities

5.1 Scenario Analysis

The model supports three scenarios: a base case aligned with management's 2025 guidance trajectory, a bear case assuming flat revenue growth and COGS pressure, and a bull case incorporating accelerated growth from Clover expansion and international penetration.

Assumption	Bear Case	Base Case	Bull Case
Rev. Growth ('25E)	0%	0–1%	4–8%
Rev. Growth ('26–30E)	0–1%	1%	5–20%
COGS Growth	4%	4%	3%
SG&A Growth	(1%)	(1%)	2%
Corporate Tax Rate	17–20%	17%	17%
CAPEX (% Rev)	2–7%	7%	7%

5.2 Share Price Sensitivity (Exit Multiple vs. Revenue Growth)

The table below shows implied share prices across exit multiples (4x–8x EBITDA) and long-run revenue growth rates (0%–8%). The base case assumption (6x, 0% growth) implies $183.23. The highlighted cell in green represents the base case, while deeper green shades denote upside scenarios.

Exit Multiple \ Revenue Growth	0%	2%	4%	6%	8%
4x	$154.68	$159.14	$163.60	$168.07	$172.53
5x	$168.95	$173.91	$178.86	$183.82	$188.77
6x	**$183.23**	$188.68	$194.12	$199.57	$205.02
7x	$197.50	$203.44	$209.38	$215.32	$221.26
8x	$211.78	$218.21	$224.64	$231.07	$237.50

5.3 Key Downside Risks

- Revenue Growth Stagnation: Base case assumes near-flat revenue growth in FY2025–FY2026 (0%). Any deterioration from macro headwinds, competitive pressures from Stripe, Square, or Adyen, or loss of bank clients could further pressure topline
- Leverage and Interest Rate Risk: Long-term debt of $23.7B and an interest rate assumption of 5% for forecasted periods creates refinancing risk if rates remain elevated. The average cost of debt across 27 tranches is 4.02%, but new debt will be costlier
- Goodwill Impairment Risk: Goodwill of $36.6B represents ~47% of total assets. Any underperformance from acquired entities (including the Clover platform or bank software businesses) could trigger material impairments
- Unconsolidated Affiliate Losses: Fiserv recognized ($685M) in affiliate losses in FY2024. Continued losses from joint ventures, particularly in markets with challenging economics, represent an ongoing earnings drag
- Regulatory & Compliance Risk: As a systemically important payments processor, Fiserv is exposed to evolving regulatory requirements from the CFPB, OCC, and international equivalents that could increase compliance costs
- Execution Risk on M&A Integration: The acquisitions of CardFree, TD Bank Canada's merchant business, and StoneCastle must be integrated effectively. Failure to realize synergies could impair returns
- Elevated CAPEX Intensity: At ~7% of revenue, CAPEX consumes significant cash. Any increase in technology investment requirements or capitalized software spend could compress free cash flow

5.4 Key Upside Catalysts

- Clover Platform Monetization: If Clover penetrates enterprise and international markets more rapidly, revenue growth could accelerate to the 5–8% range, driving substantial valuation upside
- Operating Leverage: SG&A declining at (1%) annually while revenue grows creates meaningful margin expansion potential in a bull case scenario
- Buyback Accretion: Continued share repurchases at current depressed prices would accelerate EPS growth and further concentrate value for remaining shareholders
- Tax Rate Normalization: A reduction in the corporate tax rate or favorable audit outcomes could increase after-tax earnings meaningfully

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